

A CALL TO ACTION

SUNIL MITTAL TO SECRETARY, DoT

Despite having one of the lowest allocated spectrum amongst its worldwide peers, Airtel is not only the largest mobile operator in India but the 10th largest in-country operator in the world.

We challenge the absurd proposed spectrum allocation put forth by TEC. The outcome of the hurried exercise is a sad commentary on how international norms are being ignored.

If TEC recommendations have any weight, then the start-up spectrum for new operators should be a fraction of the proposed 4.4 MHz given that Bharti is serving 50 million customers with average spectrum of less than 8 MHz.

In most countries a typical start-up spectrum is on an average over 10 MHz compared to 4.4 MHz in India.

Operators need to be spectrum efficient, but why have BSNL and MTNL, which have significantly fewer customers than Airtel, been doled out generous spectrum even when they have not fulfilled the subscriber base criteria?

Before moving ahead, DoT should demonstrate and guide the industry on efficient spectrum usage immediately by withdrawing a large part of the spectrum from MTNL in Mumbai and Delhi and demonstrate the best way to manage spectrum without hurting customers.

ANIL AMBANI TO THE PRIME MINISTER

A few existing GSM players are propagating misleading agenda to engineer unnecessary litigation against the Government in the TDSAT.

The motivated game plan of the few large GSM operators is to prevent the entry of new players, hoard spectrum and limit new competition, indulge in anti-consumer practices such as cartelisation and price fixation, delay new initiatives using litigation and policy uncertainty.

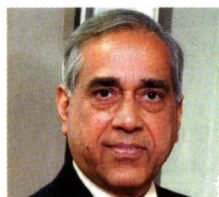
There are several other myths being propagated. One is that CDMA players have arbitrarily been allowed to offer GSM services under their existing licences. The reality is that due process of law has been followed by DoT in granting approval to CDMA operators to provide GSM services and also to GSM operators to offer CDMA services.

The second myth is that CDMA players have allegedly been given priority in spectrum allocation to provide GSM services. On the contrary, CDMA players come last after existing operators and existing licencees awaiting start-up spectrum.

The third myth is that the revised norms based on TRAI and TEC recommendations are unrealistic. The truth is, a few GSM operators have taken away scarce spectrum far in excess of 6.2 MHz, saving around Rs 20,000 crore.

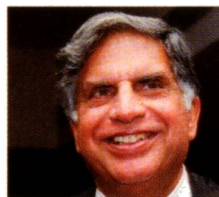
They also want spectrum for new entrants to be allocated by auction when TRAI has already ruled out auction for 2G services. The objective is to make it unviable to entrants.

Extracted and edited from Mittal's and Ambani's letters



NRIPENDRA MISRA TRAI CHAIRMAN

**SCARCE SPECTRUM
NEEDS TO BE MANAGED
EFFICIENTLY TO
PROMOTE GROWTH.**



RATAN TATA CHAIRMAN, TATA SONS

**SPECTRUM, BEING
SCARCE, SHOULD NOT
BE ALLOCATED FREE
TO ANY OPERATOR.**

of China and suggested a more stringent formula. Consider this: under the existing formula, an operator in Delhi was required to have at least three lakh subscribers per 6.2 Mhz. This requirement has now been ramped up to five lakh by TRAI and to 21 lakh by TEC.

Essentially, GSM operators will now have to set up more towers and spend more, and this could hurt bottom lines. The Cellular Operators Association of India has predictably approached the Telecom Disputes Settlement and Appellate Tribunal (TDSAT) for relief. TRAI Chairman Nripendra Misra says, however, that spectrum allocation norms have been drawn scientifically and in a transparent manner.

Thanks to the new initiatives, potential competition is knocking the doors of the Department of Telecom (DoT). TRAI has consulted players and rejected any cap on new competition. In addition to the 22 pending applications from existing licencees, over 46 companies—from real estate developers like Parsvanath to engineering outfits—have filed applications for new licences. This means market shares are no longer secure. While Anil cites instances of cartelisation and believes that much of the resistance is vested interest blocking the entry of new players, Mittal says that operators are given more spectrum globally. According to the Bharti chief, growth comes from service and through “delighting consumers with offerings”, not from manipulation of spectrum management.

The matter has now been referred to a committee consisting of the operators, TRAI, TEC and experts, even as the case comes up for hearing at TDSAT in December. Simultaneously, talks are on between DoT and telecom players. On November 21, at the first meeting, the air was rent with charges and counter-charges. DoT officials hope players will come around to an agreement. That confidence hinges on Raja's calculations and his assurance that nobody will be starved for spectrum. At risk are billions of dollars of investment and India's reputation as the fastest growing free market economy. That said, there is no getting away from the fact that spectrum is a precious national resource. It has to be priced right and used efficiently to promote competition and growth. This means lower tariffs, choice and better service. That is all that matters to the consumer, for whom this wireless war is little more than a spectator sport. ■